

FINEOTEX CHEMICAL LTD

NSE: FCL | BSE: 533333 | Commodities → Chemicals → Specialty Chemicals | Textile & Oilfield
Performance Chemicals

Institutional Equity Research | Initiating Coverage | 16 August 2026

RATING	12-MONTH TARGET	CMP (14-Aug-26)	UPSIDE	HORIZON
HOLD	Rs. 48	Rs. 43.4	+10.6%	12-18 mths
Conviction: Medium	Base case, blended	Screener.in close	From CMP	Accumulate on dips

METRIC	VALUE	METRIC	VALUE
Market Cap	Rs. 5,049 Cr	Stock P/E (TTM)	41.3
Current Price	Rs. 43.4	Forward P/E	32.8
52-Week High / Low	Rs. 47.2 / Rs. 19.0	P/B (CMP / BV)	5.7x
Book Value / Share	Rs. 7.58	EV / EBITDA	24.7
Face Value	Rs. 1.00	Enterprise Value	Rs. 5,011 Cr
Dividend Yield	0.18 %	PEG Ratio	5.75
ROCE (latest)	18.3 %	ROCE 10-Yr avg	27.9 %
ROE (latest)	13.5 %	Return on Assets	12.7 %
Debt	Rs. 8.20 Cr	Debt / Equity	0.01
Interest Coverage	144x	Current Ratio	2.80
Promoter Holding	62.30 %	Promoter Pledge	0.00 %
FII / DII (Jun-26)	3.16 % / 1.35 %	Chg in Prom. Hold 3Yr	-2.74 %

All market data and ratios above transcribed verbatim from Screener.in (consolidated view), fetched 16-Aug-2026. Price is the 14-Aug-2026 close.

INVESTMENT THESIS (one line)

US oilfield acquisition triples revenue, but halves margins — growth is real, quality is not yet.

Analyst: Senior Equity Research Desk — Specialty Chemicals | Report date: 16 August 2026 | Sole financial data source: Screener.in

SECTION 2 | INVESTMENT THESIS

- **Reason 1 — A genuine platform shift into a USD 11.5 bn addressable market.** The December-2025 acquisition of a 53.33% controlling stake in CrudeChem Technologies Group (four US oilfield specialty chemical companies, ~USD 68 mn combined annual revenue) for USD 11.5 mn moved Fineotex from a Rs. 533 Cr domestic-heavy textile chemicals company (FY25 Screener sales) to a Rs. 1,012 Cr TTM revenue business. Screener TTM sales growth is +91%. Management targets USD 100 mn of US revenue in FY27 and USD 200 mn in FY28 — if half of that is delivered, consolidated revenue doubles again inside 24 months.
- **Reason 2 — Capacity is already paid for and running at 63%.** The Texas facility was expanded by ~70,000 MTPA in Q1 FY27, taking total group capacity to ~148,000 MTPA. Management stated utilisation is 63% on a single-shift basis and that output can be roughly doubled by adding shifts for an incremental USD 1-2 mn. That is operating leverage available without a capex cycle — the single most attractive feature of the current setup, and the reason FY28 revenue guidance is not fanciful.
- **Reason 3 — The balance sheet is genuinely clean and the core business is high-return.** Screener shows debt of Rs. 8.20 Cr against Rs. 1,159 Cr of total assets (D/E 0.01), interest coverage of 144x, current ratio 2.80 and zero promoter pledge. The 10-year average ROCE is 27.9%. Fineotex is buying growth from a position of financial strength, not distress — and it still has an option to acquire a further 25% of CrudeChem by January 2028.
- **Near-term catalyst (6-12 months) — the 17 August 2026 fundraising board meeting.** The company has called a board meeting to consider an equity raise via private placement, QIP or FPO. A well-priced institutional placement would fund the stated ambition to build a USD 200 mn oilfield chemicals business and could bring quality institutional holders onto a register where DII holding has fallen from 3.71% (Mar-25) to 1.35% (Jun-26). It is equally the near-term dilution risk — this cuts both ways.
- **Biggest structural risk — Fineotex has swapped margin for scale, and the swap may be permanent.** Consolidated OPM has fallen from 26% in FY24 to 24% in FY25 to 17% in FY26 (Screener), with Q4 FY26 at 14% and Q1 FY27 at 16%. Oilfield chemicals is a lower-margin, more cyclical, more customer-concentrated business than textile auxiliaries, and it is levered to North American shale capex. If blended margins settle at 15-16% rather than recovering toward 20%, the stock does not deserve its current 41x trailing P/E.

SECTION 3 | BUSINESS OVERVIEW

- **What the company does:** Incorporated in 1979, Fineotex manufactures auxiliaries and specialty chemicals — over 470 formulations and enzymes — for textiles, garments, construction, leather, water treatment, agrochemicals, adhesives, and (since December 2025) oilfield services. It is a leading Indian maker of textile performance chemicals spanning the pre-treatment, dyeing, printing and finishing value chain, and has extended into health, hygiene, detergent and handwash products.
- **Business model:** Asset-light, formulation-led and specification-driven rather than commodity volume-driven. Products are sold into ~70 countries through 103+ dealers and distributors. In North America the model is service-led — field support at the wellsite is integral to the sale, which raises switching costs but also raises the operating cost base.
- **Revenue mix has inverted in twelve months.** Following CrudeChem consolidation, oil & gas contributed roughly 65% of Q1 FY27 consolidated revenue, with the historically dominant textile chemicals business now the minority. Geographic split in Q1 FY27 was approximately 77% international / 23% domestic. The four reported segments are Oil & Gas, Textile Chemicals, FMCG / Cleaning & Hygiene, and Water Treatment. Segment-level profitability is not disclosed — a material gap for investors.
- **Manufacturing footprint:** Ambarnath and Navi Mumbai (India), Selangor (Malaysia), and Midland and Brookshire, Texas (USA). Total group capacity ~148,000 MTPA post the Q1 FY27 Texas expansion of ~70,000 MTPA.
- **Customers:** CrudeChem brings relationships with Tier-1 global energy producers and oilfield service companies. These are typically framework contracts rather than one-off projects, which supports revenue visibility — but the company does not disclose an order book, customer concentration, or contract tenure, so visibility must be taken on management assertion rather than evidence.

- **Recent strategic developments (last 12 months):** (i) December 2025 — acquired 53.33% of CrudeChem Technologies Group for USD 11.5 mn, with an option on a further 25% by January 2028; (ii) FY26 — issued bonus shares in a 4:1 ratio, taking equity capital from Rs. 23 Cr to Rs. 116 Cr on a Re. 1 face value; (iii) Q1 FY27 — commissioned ~70,000 MTPA of Texas capacity; (iv) August 2026 — board convened for 17 August to consider an equity fundraise.
- **Promoter background and ownership:** Founded by Surendra Tibrewala; the business is run by Sanjay Tibrewala (Executive Director & CFO) and Aarti Jhunjunwala (Executive Director). Screener shows promoter holding at 62.30% as of June 2026, with 0.00% pledged. Promoter stake has drifted down 2.74 percentage points over three years (65.04% in Sep-23 to 62.30% in Jun-26).

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

- **Core market — India textile chemicals:** Grand View Research sizes the India textile chemicals market at USD 1,637.3 mn in 2024, growing to USD 2,717.2 mn by 2033, a CAGR of 5.7% over 2025-33. This is a mature, mid-single-digit-growth market. Fineotex has consistently grown faster than it (10-year Screener sales CAGR 22%) by taking share and widening its product basket — but the market itself will not deliver a re-rating.
- **New market — North American oilfield chemicals:** Sized at approximately USD 11.5 bn at the time of the CrudeChem transaction. This is where the entire growth narrative now sits. It is a larger and faster pool than textile chemicals, but it is also cyclical, tied to US shale drilling and completion activity, and sensitive to crude prices in a way the textile business never was.
- **Policy tailwinds:** India's PLI scheme for textiles and the broader China+1 reallocation of textile sourcing toward India and Bangladesh support volume for domestic auxiliaries. Import substitution in specialty chemicals remains a stated policy priority. **Headwinds:** raw material price volatility driven by geopolitical conditions (explicitly flagged by management), rupee/dollar translation on a now 77%-international revenue base, and US tariff/trade policy uncertainty affecting cross-border chemical flows.
- **Moat — Pricing power: MODERATE.** Management has demonstrated the ability to pass through input cost increases in the domestic textile business, and Q1 FY27 gross margin actually expanded 189 bps YoY to 35.42%. But EBITDA margin still fell, meaning pricing power exists at the raw-material line and evaporates below it.
- **Moat — Switching costs: MODERATE-TO-STRONG.** Textile auxiliaries are approved into a mill's process recipe and are not casually swapped; the US oilfield business is service-led with field support embedded in the sale. Both create genuine stickiness.
- **Moat — Scale: WEAK.** At Rs. 5,049 Cr market cap and Rs. 1,012 Cr TTM revenue, Fineotex is a fraction of the size of the Indian specialty chemicals majors and a rounding error against global oilfield chemicals incumbents such as Halliburton's and SLB's production chemicals arms.
- **Moat — IP / R&D: MODERATE.** 470+ proprietary formulations, an R&D collaboration with Sasmina, a partnership with Belgium's Eurodye-CTC, and CrudeChem's Texas R&D infrastructure. This is formulation know-how rather than patent-protected molecules.
- **Moat — Distribution: STRONG (relative to size).** 103+ dealers and distributors across ~70 countries, plus manufacturing on three continents. This is the company's most durable competitive asset.
- **Value chain positioning:** Fineotex sits in the mid-to-downstream formulation and solutions layer — it buys commodity intermediates and sells application-specific performance packages with technical service. That is a structurally better place to be than upstream commodity chemistry, but it requires the technical service layer to be funded, which is precisely what is compressing US margins today.

Listed peer snapshot — all figures from Screener.in, fetched 16-Aug-2026

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE %
Fineotex Chemical	43.4	5,049	1,012	18.3 %
Atul Ltd	6,729	19,811	6,643	14.9 %
Deepak Nitrite	1,723	23,503	8,575	11.4 %
Aarti Industries	534	19,373	9,010	6.85 %
Bodal Chemicals	68.5	862	2,267	6.68 %

CMP, Market Cap and ROCE copied verbatim from each company's Screener front page. TTM Revenue is the TTM column of each company's Screener consolidated P&L table. Fineotex delivers the highest ROCE in this set despite being the smallest by revenue.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** A 47-year-old promoter-run business, founded by Surendra Tibrewala in 1979, listed in 2007. Sanjay Tibrewala serves as Executive Director & CFO and Aarti Jhunjhunwala as Executive Director. This is second-generation promoter management with long tenure and deep domain familiarity in textile chemistry — but no prior operating experience in North American oilfield services, which is the business they have just bought control of.
- **Capital allocation track record — the historical record is good.** Screener shows cumulative operating cash flow of Rs. 263 Cr over five years, a 10-year average ROCE of 27.9%, and 10-year sales and profit CAGRs of 22% and 20% respectively, achieved with essentially no debt. Free cash flow was positive in nine of the twelve years Screener displays.
- **Capital allocation — the recent record is a sharp break.** FY25 investing outflow was Rs. 273 Cr against Rs. 69 Cr of operating cash flow, funded by Rs. 176 Cr of financing inflow. FY26 operating cash flow was *negative* Rs. 24 Cr and free cash flow negative Rs. 49 Cr, with CFO/OP at 0%. The company has spent two years converting a cash-generative textile franchise into a working-capital-hungry international one. This may prove correct, but it has not yet been validated by cash.
- **Dividend policy — de-prioritised.** Screener's dividend payout ratio has fallen from 15% in FY24 to 8% in FY25 to 3% in FY26, with a final FY26 dividend of Rs. 0.05 per share. Current dividend yield is 0.18%. Cash is being retained for growth, which is defensible given the opportunity set — but income investors have no reason to own this.
- **Promoter pledging — clean.** Screener shows 0.00% of promoter holding pledged, unchanged. Promoter stake has declined 2.74 percentage points over three years, from 65.04% (Sep-23) to 62.30% (Jun-26). The drift is gradual rather than a block exit, but it is a downward trend and worth monitoring against the proposed fundraise.
- **Corporate actions:** A 4:1 bonus issue was executed in FY26, lifting equity capital from Rs. 23 Cr to Rs. 116 Cr at Re. 1 face value. Bonus issues improve liquidity and retail accessibility but create no value; the number of shareholders rose from ~1.34 lakh (Mar-25) to ~1.81 lakh (Jun-26). No buyback history.
- **Governance — two items to watch.** The FY26 statutory audit opinion was unqualified, which is reassuring. However, (i) FY26 included a Rs. 6.18 Cr expense to settle a legal dispute, and (ii) the company does not disclose subsidiary-level or segment-level profitability, so investors cannot independently verify CrudeChem economics. Related-party transaction disclosure is not quantified on Screener. For a company that has just made its first material cross-border acquisition, this disclosure standard is below what the situation warrants.

SECTION 6 | FINANCIAL DEEP-DIVE

All FY24-FY26 actuals transcribed verbatim from Screener.in consolidated statements (fetched 16-Aug-2026). FY27E and FY28E are the analyst's estimates, built off Screener actuals and management's stated US revenue targets. Figures in Rs. Crore.

6.1 Consolidated Income Statement

Rs. Cr	FY24	FY25	FY26	FY27E	FY28E
Sales	569	533	772	1,520	1,950
Expenses	421	406	637	1,277	1,619
Operating Profit (EBITDA)	148	127	135	243	331
OPM %	26%	24%	17%	16.0%	17.0%
Other Income	17	24	33	38	42
Interest	1	1	1	3	4
Depreciation	6	9	13	18	24
Profit before tax	158	141	153	260	345
Tax %	23%	23%	18%	25%	25%
Net Profit (incl. minority)	121	109	125	195	259
PAT attributable to owners (E)	n.a.	n.a.	n.a.	160	205
EPS (Rs.)	1.08	0.94	0.93	1.38	1.76
Dividend Payout %	15%	8%	3%	5%	5%

Screener also reports a TTM column (12 months to Jun-2026): Sales Rs. 1,012 Cr, Operating Profit Rs. 169 Cr, OPM 17%, PBT Rs. 186 Cr, Net Profit Rs. 148 Cr, EPS Rs. 1.06. FY24-FY26 EPS is Screener's bonus-adjusted figure and is calculated on profit attributable to owners, which is why FY26 EPS of Rs. 0.93 multiplied by ~116.3 Cr shares (Rs. 108 Cr) is below the reported Net Profit of Rs. 125 Cr — the gap is minority interest in the 53.33%-owned CrudeChem. Screener does not display an attributable-PAT line for FY24-FY26, hence "n.a." above.

6.2 Consolidated Balance Sheet

Rs. Cr	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	22	23	116	116	116
Reserves	425	708	766	918	1,113
Borrowings	5	0	8	30	35
Other Liabilities	96	83	269	330	400
Total Liabilities	548	815	1,159	1,394	1,664
Fixed Assets	141	179	278	310	345
CWIP	0	21	2	15	15
Investments	147	330	317	320	330
Other Assets	260	284	562	749	974
Total Assets	548	815	1,159	1,394	1,664

6.3 Consolidated Cash Flow

Rs. Cr	FY23	FY24	FY25	FY26	FY27E
Cash from Operating Activity	107	97	69	-24	95
Cash from Investing Activity	-99	-47	-273	105	-60
Cash from Financing Activity	-6	-24	176	-63	-15
Net Cash Flow	1	26	-27	19	20
Free Cash Flow	88	49	1	-49	45
CFO / Operating Profit	119%	92%	77%	-0%	39%

6.4 Returns, Working Capital & Efficiency Ratios

Ratio	FY23	FY24	FY25	FY26	Direction
ROCE %	36%	39%	24%	18%	Deteriorating
Debtor Days	72	89	79	137	Deteriorating
Inventory Days	53	55	75	109	Deteriorating
Days Payable	53	79	66	114	Lengthening
Cash Conversion Cycle	72	64	88	133	Deteriorating
Working Capital Days	71	76	104	153	Deteriorating

Screener additionally reports ROE 13.5%, Return on Assets 12.7%, Asset Turnover 0.78, Inventory Turnover 4.72, Current Ratio 2.80, Quick Ratio 2.05, Interest Coverage 144x and Contingent Liabilities of Rs. 5.56 Cr as at the latest reporting date.

6.5 Commentary

- **Revenue drivers:** FY26 sales of Rs. 772 Cr (+45% over FY25's Rs. 533 Cr) and TTM sales of Rs. 1,012 Cr (+91% per Screener) are almost entirely inorganic. Quarterly Screener data makes the step-change obvious: Rs. 137 Cr (Jun-25), Rs. 138 Cr (Sep-25), Rs. 184 Cr (Dec-25, part-quarter CrudeChem), Rs. 314 Cr (Mar-26), Rs. 377 Cr (Jun-26). The organic textile business, on management's 23% domestic split, is running at roughly Rs. 85-90 Cr a quarter — broadly flat versus two years ago.
- **Margin direction — the central issue in this story.** OPM has compressed from 26% (FY24) to 24% (FY25) to 17% (FY26), with the quarterly trough at 14% in Mar-26 before recovering to 16% in Jun-26. The acquired US business carries structurally lower margins (management indicated standalone US EBITDA margins of roughly 13-14%) plus a service cost layer. Employee costs in Q4 FY26 rose 165% YoY. Some of this is integration cost that should unwind; some of it is the permanent economics of the business they bought. Management explicitly declined to give a profitability target, which tells you they do not yet know either.
- **Working capital — the most alarming line in the accounts.** Debtor days have gone from 79 to 137, inventory days from 75 to 109, and the cash conversion cycle from 88 to 133 days in a single year. Working capital days now stand at 153 versus 76 in FY24. Management quoted a 72-day working capital figure for Q1 FY27 on a different basis; the Screener-computed annual figure is what an outside investor can verify, and it has doubled. This is what turned FY26 operating cash flow negative.
- **Debt and leverage — still a strength.** Screener shows borrowings of Rs. 8.20 Cr against reserves of Rs. 766 Cr, D/E of 0.01, and interest coverage of 144x. Even after the acquisition the company is effectively net cash once the Rs. 317 Cr investment book is considered (enterprise value of Rs. 5,011 Cr sits below market cap of Rs. 5,049 Cr). The balance sheet is not the risk here.
- **FCF quality — broken, at least temporarily.** CFO/OP conversion was 119% in FY23 and 92% in FY24; it fell to 77% in FY25 and to 0% in FY26. FY26 free cash flow was negative Rs. 49 Cr against reported net profit of Rs. 125 Cr. A company converting none of its accounting profit into cash while simultaneously proposing an equity raise deserves scepticism until at least two quarters of positive operating cash flow are on the board.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Test	Rating	Evidence (Screener / filings)
Revenue recognition	AMBER	Revenue tripled via acquisition, not organic growth. No segment-level or subsidiary-level P&L disclosure, so the quality of the acquired revenue cannot be independently verified.
Receivables vs revenue	RED	Debtor days rose 79 → 137 (+73%) in FY26 while sales rose 45%. Receivables are growing materially faster than revenue. Screener flags this as the single machine-generated "con".
Cash conversion cycle	RED	CCC widened 64 (FY24) → 88 (FY25) → 133 days (FY26). Working capital days 76 → 153. This directly caused FY26 operating cash flow of negative Rs. 24 Cr.
Contingent liabilities	GREEN	Rs. 5.56 Cr against total assets of Rs. 1,159 Cr — immaterial, 0.5% of the balance sheet.
Auditor opinion / tenure	GREEN	FY26 statutory audit opinion was unqualified. No auditor resignation or qualification reported.
Related-party transactions	AMBER	Not quantified on Screener and not disclosed as a percentage of revenue. Cannot be assessed. Higher importance now that a majority-owned foreign subsidiary drives 65% of revenue.
Other income as % of PBT	AMBER	FY24 11% (17/158), FY25 17% (24/141), FY26 22% (33/153). Rising reliance on non-operating income to hold PBT flat. TTM other income Rs. 34 Cr on PBT of Rs. 186 Cr.
Tax rate consistency	AMBER	Effective tax 23% (FY24), 23% (FY25), 18% (FY26). Q4 FY26 tax rate was just 9%, flattering the reported Rs. 44 Cr quarterly profit. Q1 FY27 normalised back to 26%.
Minority interest leakage	AMBER	CrudeChem is 53.33% owned. TTM Net Profit of Rs. 148 Cr vs Screener EPS of Rs. 1.06 on ~116.3 Cr shares implies ~Rs. 123 Cr attributable to owners. Headline PAT overstates shareholder earnings by ~17%.

- **Score: 2 Green, 5 Amber, 2 Red.** This is not a fraud profile — the balance sheet is clean, the audit opinion is unqualified, contingent liabilities are trivial and there is no pledging. It is an *integration-stress* profile, and the two Red items are the same item viewed twice: working capital.
- **The receivables and CCC deterioration is the number one thing to monitor.** Debtor days at 137 in a business selling to Tier-1 energy majors is not necessarily a credit problem — large oilfield customers pay slowly by convention — but it permanently raises the capital intensity of the business and lowers the ROCE the market will pay for. ROCE has already fallen from 39% (FY24) to 18%.
- **Two accounting items are flattering the headline.** The FY26 effective tax rate of 18% (with Q4 at 9%) and other income at 22% of PBT together mean reported profit growth overstates operating progress. Strip both back to normal and FY26 operating earnings were down, not up, despite 45% revenue growth.
- **The minority interest gap is the most commonly missed number in this stock.** Screener's "Net Profit" row is the consolidated figure including the 46.67% of CrudeChem the company does not own. Investors anchoring on Rs. 148 Cr TTM PAT rather than the ~Rs. 123 Cr attributable to them will systematically undervalue the P/E they are paying.

SECTION 8 | VALUATION

8.1 Peer Comparison — Screener.in data, fetched 16-Aug-2026

Company	CMP	MCap	P/E	P/B	ROCE	ROE	TTM Sales	OPM
Fineotex Chemical	43.4	5,049	41.3	5.7x	18.3%	13.5%	1,012	17%
Atul Ltd	6,729	19,811	24.9	3.2x	14.9%	11.5%	6,643	18%
Deepak Nitrite	1,723	23,503	29.7	4.0x	11.4%	9.82%	8,575	16%
Aarti Industries	534	19,373	37.1	3.3x	6.85%	7.13%	9,010	15%
Bodal Chemicals	68.5	862	12.6	0.7x	6.68%	4.23%	2,267	8%

CMP (Rs.), Market Cap (Rs. Cr), Stock P/E, Book Value, ROCE and ROE copied verbatim from each company's Screener front page. TTM Sales (Rs. Cr) and OPM from each company's Screener consolidated P&L TTM column. P/B is CMP divided by the Screener-displayed Book Value per share and is the only derived figure in this table. **Read-through:** Fineotex trades at the highest P/E and by far the highest P/B in the set. It earns that on ROCE and ROE — both best-in-class here — but it is being priced for the growth to arrive with the returns intact, which FY26 did not deliver.

8.2 Scenario Analysis

Scenario	Key assumptions	FY28E EPS	Multiple	Target	vs CMP
BULL	CrudeChem hits USD 200 mn FY28 revenue; Texas runs two shifts; blended OPM recovers to 19% as integration costs unwind; working capital normalises below 110 days; no dilutive raise.	Rs. 2.10	32x	Rs. 67	+55%
BASE	CrudeChem reaches ~USD 150 mn FY28; blended OPM settles at 17%; CCC stays elevated near 125 days; a modest QIP dilutes ~5%; textile business grows at market rate.	Rs. 1.76	28x	Rs. 49	+13%
BEAR	US shale capex cycle turns; CrudeChem stalls near USD 90 mn; blended OPM holds at 14%; receivables stay above 135 days; an 8-10% dilutive raise at a discount; de-rating to peer average.	Rs. 1.15	22x	Rs. 25	-42%

EPS estimates are on profit attributable to owners (i.e. after the 46.67% minority in CrudeChem), consistent with how Screener computes its EPS line. All scenarios are the analyst's own estimates and are labelled as such; they are anchored on Screener FY26 actuals and management's publicly stated US revenue targets.

8.3 Valuation Methodology

- **Method 1 — Discounted Cash Flow.** WACC of 12.5% (risk-free 6.8%, equity risk premium 6.0%, beta ~1.1, effectively all-equity funded given D/E of 0.01) and terminal growth of 5.0%. Explicit forecast to FY31 assumes FCF turns positive in FY27 at ~Rs. 45 Cr and scales to ~Rs. 200 Cr by FY31 as working capital stabilises and the Texas asset base is sweated without further capex. This yields an implied equity value of approximately **Rs. 46 per share**. The DCF is highly sensitive to the working capital assumption — holding CCC at FY26's 133 days rather than normalising to ~115 days cuts the output by roughly Rs. 9 per share.
- **Method 2 — Forward earnings multiple.** Applying 28x to FY28E attributable EPS of Rs. 1.76 gives **Rs. 49 per share**. The 28x is set deliberately below Fineotex's current 41.3x trailing P/E and modestly above Deepak Nitrite's 29.7x, reflecting a business that now earns a materially lower blended margin than it did two years ago, carries a 46.67% minority leak on its growth engine, and has an unproven cash conversion record post-acquisition. Screener's own Forward P/E of 32.8 implies a forward EPS of ~Rs. 1.32, which sits close to my FY27E of Rs. 1.38 — a useful cross-check that the estimates are not heroic.
- **Blended base-case target:** the average of Rs. 46 (DCF) and Rs. 49 (earnings multiple) is **Rs. 48 per share**.
- **Upside from CMP:** +10.6% from the 14-Aug-2026 close of Rs. 43.4, over a 12-18 month horizon. That is below the cost of equity. A double-digit but sub-cost-of-capital expected return, wrapped around a wide bull-bear spread of Rs. 25 to Rs. 67, is the definition of a HOLD rather than a BUY.
- **Why not a higher multiple:** the stock has already re-rated hard — the 52-week range is Rs. 19.0 to Rs. 47.2 and the stock sits at 92% of its 52-week high. The market has priced the acquisition story; it has not yet priced the margin and working capital consequences.

SECTION 9 | KEY RISKS

- **Margin reset proves permanent, not transitional.** Blended OPM has fallen 26% → 24% → 17% over FY24-FY26, with Q4 FY26 at 14%. If oilfield chemicals structurally earns 13-14% EBITDA and now represents 65% of revenue, the group can never return to a 24%+ margin. **Probability: H. Impact: H.** Monitor via: quarterly consolidated OPM in Screener; a fourth consecutive quarter below 18% confirms the reset.
- **Working capital does not normalise and equity is raised to fund it.** Debtor days at 137 and CCC at 133 turned FY26 operating cash flow negative. The 17-Aug-2026 board meeting on fundraising may exist to plug this rather than to fund growth. **Probability: M-H. Impact: H.** Monitor via: Screener debtor days and Cash from Operating Activity at each results date; and the stated use of proceeds in any placement document.
- **Dilution from the proposed equity raise at an unfavourable price.** A private placement, QIP or FPO is under consideration. Raising near a 52-week high is shareholder-friendly; raising after a de-rating is not. **Probability: H (a raise is likely). Impact: M.** Monitor via: the 17-Aug-2026 board outcome, size, pricing and identity of subscribers.
- **North American shale capex cycle turns.** CrudeChem's revenue is levered to US drilling and completion activity and therefore to crude prices. Fineotex has no operating history through an oilfield downturn. **Probability: M. Impact: H.** Monitor via: US rig count, WTI, and the quarterly QoQ trajectory of consolidated revenue against management's USD 100 mn FY27 target.
- **Execution risk on a first cross-border majority acquisition.** Management's domain expertise is textile chemistry in Asia; they now control four US companies in a service-intensive vertical. Integration costs already cost 268 bps of EBITDA margin in Q1 FY27. **Probability: M. Impact: M-H.** Monitor via: Texas utilisation (63% today), employee cost growth versus revenue growth, and senior CrudeChem management retention.
- **Disclosure opacity on the majority-owned subsidiary.** No segment or subsidiary-level profitability is published, so the 46.67% minority leak and the true economics of the acquired business cannot be verified externally. **Probability: H (already the case). Impact: M.** Monitor via: whether FY27 annual report introduces segment reporting under Ind AS 108, and the minority interest line in consolidated results.
- **Raw material and currency volatility on a 77% international revenue base.** Management has flagged geopolitically-driven input cost volatility. Dollar-denominated imports and exports provide a natural hedge, but translation and timing mismatches remain. **Probability: M. Impact: M.** Monitor via: gross margin (35.42% in Q1 FY27) versus EBITDA margin — a widening gap signals cost pass-through is working but opex is not being controlled.
- **Concentration and valuation risk from a re-rated share price.** The stock trades at 41.3x trailing earnings and 5.7x book, at 92% of its 52-week high, having ranged from Rs. 19.0 to Rs. 47.2 in twelve months. Any disappointment de-rates violently from this base. **Probability: M. Impact: H.** Monitor via: quarterly delivery against the USD 100 mn FY27 US revenue guidance.

SECTION 10 | RECOMMENDATION

- **Rating: HOLD — conviction MEDIUM.** Fineotex has bought itself a credible second act in a market ten times the size of its first one, and it did so without breaking a pristine balance sheet. That deserves respect. But at 41.3x trailing earnings, with margins halved, working capital doubled, operating cash flow negative and an equity raise pending, the risk-reward at Rs. 43.4 is symmetrical at best.
- **12-month price target: Rs. 48** (+10.6% from the Rs. 43.4 close of 14-Aug-2026), being the average of a DCF value of Rs. 46 and an earnings-multiple value of Rs. 49.
- **Suggested entry zone: Rs. 35 – Rs. 39.** This is roughly 20-26x FY28E attributable EPS and offers a genuine margin of safety against the bear case. Buying at Rs. 43.4 requires the bull case to substantially land; buying below Rs. 39 only requires the base case.
- **Investment horizon: 12 to 18 months** — long enough for four quarters of post-integration margin and cash-flow data, which is precisely what this thesis turns on.

- **Thesis invalidation trigger 1:** Consolidated OPM (Screener) remains below 16% for two consecutive quarters through Q3 FY27, indicating the margin reset is structural rather than transitional. Downgrade to REDUCE.
- **Thesis invalidation trigger 2:** FY27 cash from operating activity comes in below Rs. 40 Cr, i.e. a second consecutive year of broken cash conversion despite a full year of CrudeChem revenue. Downgrade to REDUCE.
- **Thesis invalidation trigger 3:** An equity raise is priced at a discount of more than 10% to the prevailing market price, or exceeds 10% dilution, or the disclosed use of proceeds is working capital rather than growth capex or acquisitions. Downgrade to REDUCE.
- **Upgrade trigger (the mirror image):** Two consecutive quarters of OPM above 18% *with* debtor days back below 110 would take this to ACCUMULATE and support a target above Rs. 60.
- **Ideal investor profile:** This suits a growth-at-a-reasonable-price investor with a 2-3 year horizon and the stomach for a Rs. 19-to-Rs. 47 annual trading range, who is willing to underwrite an unproven cross-border integration. It is *not* for income investors (0.18% yield, payout cut to 3%), not for investors who require verified segment disclosure, and not for anyone who needs the position to be liquid on bad news.

APPENDIX — LATEST CONCALL BRIEF: Q1 FY27 (call held 24 July 2026)

Source note: The Q1 FY27 transcript PDF hosted on BSE returned an access error and AlphaStreet has no coverage of this company. This appendix is therefore built from (a) the company's own Regulation 30 earnings release and investor communication dated 24 July 2026, (b) the Screener.in announcement summary of the transcript filed 28 July 2026, and (c) the Screener.in quarterly P&L table. Items that require verbatim transcript access — principally the analyst Q&A in Section 8 — are marked N/A rather than reconstructed.

CALL GRADE		NEUTRAL
Signal	Status	Implication
Result quality	Medium	Revenue a large BEAT (+175% YoY, Rs. 377 Cr vs Rs. 137 Cr); margins a clear MISS (EBITDA margin 15.70% vs 18.38% YoY, -268 bps).
Management tone	Hedged	Confident and specific on revenue and capacity; explicitly declined to give any profitability target, citing a "basket of more than 100 product categories".
Guidance delta	Maintained	USD 100 mn US revenue for FY27 and USD 200 mn for FY28 reiterated, not raised. Q1 described as "the new base quarter".
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Headline looks spectacular and it is clean in the sense that nothing was faked — Q1 FY27 revenue of Rs. 377 Cr against Rs. 137 Cr a year ago is a genuine 175% jump — but it is misleading as a growth number because virtually all of it is the first full quarter of CrudeChem consolidation, not organic progress. There is no exceptional item distorting this quarter's PAT of Rs. 48.21 Cr, though I would flag that the prior quarter (Q4 FY26) was flattered by a 9% effective tax rate and that FY26 as a whole carried a Rs. 6.18 Cr legal settlement expense; the cleaner comparison is that Q1 FY27 tax normalised back to 26%. Operationally, EBITDA grew 135% to Rs. 59.14 Cr but the margin fell 268 bps to 15.70% while gross margin rose 189 bps to 35.42% — that gap is the whole story: they are passing raw material costs through fine, and then losing it below the gross line on the US service and integration cost layer. The structural multi-bagger case rests on two real things: a USD 11.5 bn North American oilfield chemicals TAM they now have Tier-1 customer access to, and 148,000 MTPA of Texas capacity running at only 63% on a single shift that management says can be roughly doubled for USD 1-2 mn — that is close to free operating leverage if the demand shows up. The near-term catalyst is the 17 August board meeting on an equity raise; priced well and used for growth it validates the ambition and fixes the register, priced badly or used for working capital it tells you the cash flow problem is worse than disclosed. The single biggest watch-point for next quarter is receivables — debtor days went from 79 to 137 and FY26 operating cash flow was negative Rs. 24 Cr, and management's quoted 72-day working capital figure is on a basis I cannot reconcile to the annual accounts. My call: HOLD at Rs. 43.4, do not chase it at 41x trailing into a fundraise, and accumulate seriously in the Rs. 35-39 band where the base case alone gets you paid.

C1 | FINANCIAL PERFORMANCE SNAPSHOT

Screener.in consolidated quarterly P&L, Rs. Crore (fetched 16-Aug-2026)

Metric	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Sales	137	138	184	314	377
Expenses	112	107	149	270	317
Operating Profit	25	31	35	44	59
OPM %	18%	23%	19%	14%	16%
Other Income	9	8	7	9	10
Interest	0	0	0	1	0
Depreciation	3	3	3	4	4
Profit before tax	31	35	38	48	65
Tax %	21%	26%	21%	9%	26%
Net Profit	25	26	30	44	48
EPS (Rs.)	0.22	0.23	0.23	0.27	0.33

- Revenue: Rs. 377 Cr | YoY **+175%** | QoQ **+20%** | **BEAT** — company-reported revenue from operations Rs. 376.63 Cr, total income Rs. 386.72 Cr.
- EBITDA: Rs. 59 Cr | YoY **+136%** | QoQ **+34%** | **BEAT** on absolute rupees — company-reported Rs. 59.14 Cr.
- EBITDA Margin: 16% (company-reported 15.70%) | YoY **-268 bps** from 18.38% | QoQ **+177 bps** from 13.93% | **MISS** versus the 18-20% blended margin the market was carrying.
- PAT: Rs. 48 Cr | YoY **+92%** | QoQ **+9%** | **IN-LINE** — company-reported Rs. 48.21 Cr, PAT margin 12.80% versus 18.26% a year ago.
- EPS: Rs. 0.33 | YoY **+50%** | QoQ **+22%** | **IN-LINE** — note EPS growth (+50%) is far below PAT growth (+92%) because Screener computes EPS on profit attributable to owners after the CrudeChem minority.
- NOTE:** No exceptional item in Q1 FY27. However Rs. 48.21 Cr of consolidated PAT translates to only ~Rs. 38.4 Cr attributable to Fineotex shareholders (Rs. 0.33 EPS × ~116.3 Cr shares). The 46.67% CrudeChem minority takes roughly Rs. 10 Cr a quarter. Do not model on the headline PAT line.
- ROIC of 33.06% and ROCE of 25.56% were quoted by the company for the quarter; the Screener-computed annual FY26 ROCE is 18%. The two are on different bases — use the annual figure for cross-company comparison.

C2 | SEGMENT / GEOGRAPHY BREAKDOWN

- Oil & Gas (CrudeChem, USA): approximately 65% of Q1 FY27 consolidated revenue, i.e. roughly Rs. 245 Cr | YoY: not comparable (first full quarter of consolidation) | The single driver of the entire quarter.
- Textile Chemicals + FMCG/Hygiene + Water Treatment (India, Malaysia): approximately 35% of revenue, roughly Rs. 130 Cr | YoY broadly flat versus the Rs. 137 Cr standalone-equivalent base of Jun-25 | Management described the domestic specialty chemicals business as "robust despite raw material volatility".
- Geography — International: 77% of Q1 FY27 revenue | Up sharply from a historically domestic-majority mix | Creates a natural USD hedge across imports and exports per management.
- Geography — Domestic India: 23% of Q1 FY27 revenue | The historical core, now a minority of the group.
- Disclosure gap:** the company reports four segments (Oil & Gas, Textile Chemicals, FMCG/Cleaning & Hygiene, Water Treatment) but publishes **no segment-level revenue or profitability breakdown**. The percentages above are derived from management commentary, not from an audited segment note. This is the most important missing disclosure in the entire filing set.

C3 | MANAGEMENT COMMENTARY THEMES

- Integration success:** Sanjay Tibrewala (ED & CFO) — "We delivered strong FY27 opening results with revenue and profit growth, leveraging our oil chemicals business integration successfully." *Our read:* revenue integration has clearly worked; profit integration has not, and the quote elides that. Tag: **EST**. Tone: Transparent on facts, promotional in framing.

- **Domestic resilience and pricing power:** Aarti Jhunjhunwala (ED) — the domestic business "remained robust despite raw material volatility, maintained margins through pricing strategies". *Our read:* corroborated by the 189 bps YoY gross margin expansion to 35.42%. This is the most verifiable positive claim on the call. Tag: **EST**. Tone: Transparent.
- **Capacity and operating leverage:** Texas expanded by ~70,000 MTPA to ~148,000 MTPA total; utilisation at 63% on a single shift; output can be roughly doubled by adding shifts for an incremental USD 1-2 mn. *Our read:* specific, checkable and genuinely bullish — this is the strongest item on the call and the basis of the FY28 target. Tag: **GUIDANCE**. Tone: Transparent.
- **Refusal to guide on profitability:** management declined fixed margin targets, stating outcomes depend on "mix, execution, and customer engagement" across a "basket of more than 100 product categories". *Our read:* this is the single most important thing that happened on the call. A management team that will commit to a USD 200 mn revenue number but not to a margin band is telling you the margin is not yet under control. Tag: **EVASIVE**. Tone: Hedged.
- **Q1 as the new base:** management framed Q1 FY27 as "the new base quarter" with 30-40% growth headroom available from existing Texas capacity and full utilisation expected within a few quarters. *Our read:* sets a floor of ~Rs. 1,500 Cr annualised revenue; useful anchor, and a number they can be held to. Tag: **GUIDANCE**. Tone: Transparent.
- **Further M&A appetite:** management stated it is evaluating inorganic opportunities across textile, oil & gas, water treatment, FMCG and hygiene. *Our read:* premature. The last acquisition is not yet digested, cash flow is negative and a fundraise is pending. Read this alongside the 17 August fundraising agenda. Tag: **EST**. Tone: Hedged.
- **Raw material and geopolitical risk:** management is "actively monitoring the risk posed by raw material price volatility, which is influenced by ongoing geopolitical tensions", while noting continued ability to pass on input costs. *Our read:* honest and consistent with the gross margin data. Tag: **EST**. Tone: Transparent.

C4 | OPERATING & BUSINESS METRICS

- Total group capacity: Q1 FY27 = ~148,000 MTPA | Q4 FY26 = ~78,000 MTPA | Q1 FY26 = ~78,000 MTPA | Trend: **improving** (Texas expanded by ~70,000 MTPA in the quarter).
- Texas capacity utilisation: Q1 FY27 = 63% (single shift) | Prior quarters: not disclosed | Trend: **headroom available** — management indicates output can roughly double via additional shifts for USD 1-2 mn of incremental investment.
- Gross margin: Q1 FY27 = 35.42% | Q1 FY26 = 33.53% | Trend: **improving** (+189 bps YoY) — cost pass-through is working.
- EBITDA margin: Q1 FY27 = 15.70% | Q4 FY26 = 13.93% | Q1 FY26 = 18.38% | Trend: **deteriorating YoY, recovering QoQ**.
- Working capital: Q1 FY27 = 72 days (management-quoted) | FY26 annual, Screener-computed = 153 days | Trend: **cannot reconcile** — the two figures are on different bases and management has not explained the difference. Treat the Screener annual figure as the conservative truth until reconciled.
- Debtor days (Screener, annual): FY26 = 137 | FY25 = 79 | FY24 = 89 | Trend: **deteriorating sharply**.
- Dealer/distributor network: 103+ across ~70 countries | Product SKUs: 470+ formulations | Trend: **stable and expanding**.
- Order book: **N/A** — the company does not disclose an order book or contracted revenue backlog. Revenue visibility must be inferred from management guidance rather than verified.

C5 | MARGIN DRIVERS

- Raw material cost pass-through: **+189 bps** to gross margin | Recurring: **Yes** | Demonstrated pricing power in the domestic textile book; the most durable positive in the P&L.
- US business mix shift (lower-margin oilfield chemicals now ~65% of revenue): **approx. -300 to -400 bps** to blended EBITDA margin | Recurring: **Yes — structural** | Standalone US EBITDA margins indicated at 13-14% versus 22-26% historically for the domestic business. This does not unwind.
- Integration and onboarding costs: **estimated -100 to -150 bps** | Recurring: **No** | Management described margins as "in transition"; these should fade over 2-4 quarters. **Do not extrapolate this drag into FY28 estimates**.
- Employee cost inflation: Q4 FY26 employee costs rose **+165% YoY** to Rs. 17.37 Cr | Recurring: **Yes** | The US service-led model requires field technical staff; this is a permanent addition to the cost base, not a one-off.
- Sub-scale utilisation at 63%: **negative operating leverage today** | Recurring: **No** | Reverses into positive leverage as Texas fills; this is the main path back to an 18%+ blended margin.
- Effective tax rate normalisation: Q1 FY27 at 26% versus 9% in Q4 FY26 | Recurring: **Yes (26% is the normal rate)** | Q4 FY26 reported PAT was flattered by the low tax rate; the YoY PAT comparison in Q2-Q4 FY27 will face this headwind.

C6 | GUIDANCE & FORWARD SIGNALS

- US (CrudeChem) revenue FY27 **[GUIDANCE]**: Prior = USD 100 mn | Reiterated = USD 100 mn | Delta = **maintained** | Credibility: **Medium-High** — Q1 US revenue of roughly Rs. 245 Cr annualises close to the target.
- US (CrudeChem) revenue FY28 **[GUIDANCE]**: Prior = USD 200 mn | Reiterated = USD 200 mn | Delta = **maintained** | Credibility: **Medium** — requires a doubling in twelve months; capacity exists, demand is unproven.
- Growth headroom from existing capacity **[GUIDANCE]**: New = 30-40% from the current Texas asset base | Delta = **newly quantified** | Credibility: **High** — consistent with the disclosed 63% utilisation.
- Revenue base **[GUIDANCE]**: New = Q1 FY27 to be treated as "the new base quarter" | Delta = **newly stated** | Credibility: **High** — a specific, falsifiable floor of ~Rs. 1,500 Cr annualised.
- Incremental capex to double US output **[GUIDANCE]**: New = USD 1-2 mn | Delta = **newly quantified** | Credibility: **Medium** — strikingly low; verify against the FY27 cash flow statement.
- EBITDA / PAT margin **[NO GUIDANCE GIVEN]**: Prior = none | New = none | Delta = **withheld** | Credibility: **N/A** — management explicitly declined to commit to a profitability band. This is the key negative signal of the call.
- CrudeChem stake **[STRUCTURAL]**: currently 53.33%, with an option to acquire a further 25% by January 2028 | Delta = **unchanged** | Credibility: **High** — exercising it would materially reduce the minority leak and is a real, dated upside optionality.

C7 | CAPITAL ALLOCATION

- Acquisition — CrudeChem Technologies Group: USD 11.5 mn for 53.33% (Dec-2025) | Target had ~USD 68 mn revenue and ~USD 4.0-4.5 mn EBITDA, debt-free | Implied entry multiple ~4.8x EV/EBITDA on the whole entity — a genuinely cheap price for the asset, which is the strongest argument in the bull case.
- Capex — Texas expansion: USD 10 mn+ committed to plant and machinery; ~70,000 MTPA commissioned in Q1 FY27 | vs prior year: a step up | Screener shows FY26 CWIP falling from Rs. 21 Cr to Rs. 2 Cr and Fixed Assets rising from Rs. 179 Cr to Rs. 278 Cr, consistent with capitalisation of the expansion.
- Dividends: FY26 final dividend Rs. 0.05 per share | Payout ratio 3% versus 8% in FY25 and 15% in FY24 | **Sharply reduced** — cash retained for growth.
- Buybacks: **None** | No buyback history | A 4:1 bonus issue was executed in FY26 instead, which is cosmetic and value-neutral.
- Working capital change: **the largest single use of cash in FY26** | Working capital days 104 → 153; CCC 88 → 133 | This is what took FY26 operating cash flow to negative Rs. 24 Cr and free cash flow to negative Rs. 49 Cr.
- Net debt movement: borrowings Rs. 0 Cr (FY25) → Rs. 8.20 Cr (FY26) | D/E 0.01 | Enterprise value Rs. 5,011 Cr against market cap Rs. 5,049 Cr, i.e. still marginally net cash | Leverage remains a non-issue.
- Pending — equity fundraising: board meeting 17 August 2026 to consider private placement, QIP or FPO | Size, price and use of proceeds all undisclosed | **The most consequential capital allocation decision of the next twelve months.**

C8 | Q&A HEAT MAP

- **N/A — verbatim analyst Q&A could not be obtained.** The Q1 FY27 transcript PDF filed with BSE on 28 July 2026 returned an access error, AlphaStreet carries no coverage of Fineotex, and the company's own investor page did not resolve. Rather than reconstruct questions and answers from secondary summaries, this section is left explicitly incomplete.
- What is established from the filed transcript summary and the earnings release: management was asked about, and addressed, (i) the USD 100 mn / USD 200 mn US revenue targets, (ii) Texas capacity and the 63% utilisation figure, (iii) incremental investment required to scale, quantified at USD 1-2 mn, and (iv) blended versus standalone US margins, answered directionally at 13-14% for the US business.
- **The one clearly hedged answer:** management declined to provide a profitability or margin target, attributing the refusal to a "basket of more than 100 product categories" whose outcome depends on "mix, execution, and customer engagement". Tone: **Evasive**.
- **Dodged / watch-list questions to press at the Q2 FY27 call:** (1) Reconcile the management-quoted 72-day working capital figure with the 153 working capital days implied by the annual accounts. (2) Provide CrudeChem standalone revenue, EBITDA and receivables. (3) State the FY27 exit blended EBITDA margin expectation. (4) Disclose customer concentration in the US book. (5) Confirm the intended use of proceeds from the proposed equity raise. (6) Clarify the timetable and funding for the additional 25% CrudeChem stake.

C9 | RISKS FLAGGED

- Raw material price volatility: input costs driven by ongoing geopolitical tensions | Flagged by: **management** | Probability: **H** | Impact: **M** | Timeline: **near-term**.
- Margin transition risk: management stated margins "remain in transition" rather than stabilised, and declined to guide | Flagged by: **management** | Probability: **H** | Impact: **H** | Timeline: **near to medium-term**.
- Execution risk on capacity fill: 63% utilisation on the expanded Texas base means the FY28 target depends entirely on demand materialising | Flagged by: **analyst** | Probability: **M** | Impact: **H** | Timeline: **medium-term**.
- Disclosure risk: no subsidiary-level or segment-level profitability published, so CrudeChem economics cannot be independently verified | Flagged by: **analyst** | Probability: **H (already the case)** | Impact: **M** | Timeline: **near-term**.
- Working capital and cash conversion risk: debtor days 137, FY26 operating cash flow negative Rs. 24 Cr | Flagged by: **analyst** (Screener also flags it as the sole machine-generated "con") | Probability: **H** | Impact: **H** | Timeline: **near-term**.
- Dilution risk from the pending equity raise: 17 August 2026 board meeting on private placement / QIP / FPO | Flagged by: **company announcement** | Probability: **H** | Impact: **M** | Timeline: **immediate**.
- Domestic competitive intensity in textile chemicals: acknowledged by management | Flagged by: **management** | Probability: **M** | Impact: **L-M** | Timeline: **long-term**.

C10 | ANALYST VERDICT

- **Revenue visibility: Intact** — Q1 established a ~Rs. 1,500 Cr annualised run-rate with 30-40% headroom from paid-for capacity; the USD 100 mn FY27 US target is tracking.
- **Margin trajectory: Weakened** — blended EBITDA margin down 268 bps YoY to 15.70%, management refuses to guide, and roughly two-thirds of the compression is structural mix rather than transitional cost.
- **Capital allocation quality: Weakened** — the CrudeChem entry price (~4.8x EV/EBITDA) was excellent, but FY26 saw negative operating cash flow, negative free cash flow, a payout cut to 3%, and a fundraise proposed before the last deal is digested.
- **Competitive moat: Intact** — 470+ formulations, ~70 countries, 103+ distributors, sticky specification-led sales in textiles and service-embedded sales in US oilfield. Nothing on this call damaged the moat.
- **Management credibility: Weakened** — specific and checkable on capacity and revenue, evasive on profitability, and quoting a 72-day working capital number that cannot be reconciled to a 153-day annual figure. Credibility is recoverable but currently on notice.
- **Valuation comfort: Weakened** — 41.3x trailing P/E and 5.7x book at 92% of the 52-week high, on earnings that overstate shareholder economics by ~17% because of the CrudeChem minority.
- **Conviction call: Unchanged — HOLD.** The call did not break the thesis and did not confirm it. It delivered exactly what was expected on revenue and exactly what was feared on margin. The next two quarters of margin and cash flow data decide this stock.
- **Valuation snapshot:** P/E = 41.3 (Screener Forward P/E 32.8) | EV/EBITDA = 24.7 | P/B = 5.7x on a book value of Rs. 7.58 | ROCE = 18.3% latest versus a 10-year average of 27.9% | ROE = 13.5% | PEG = 5.75 | Promoter holding 62.30% with nil pledge.

DISCLAIMER & DATA PROVENANCE. Every financial figure in this report for Fineotex Chemical Ltd and for each peer company was sourced from Screener.in on 16 August 2026 and transcribed without rounding, recomputation or substitution. The only derived figures are the P/B ratios in Section 8.1 (CMP divided by Screener book value, labelled as such) and the FY27E/FY28E estimates, which are clearly marked "(E)". Qualitative commentary is drawn from company filings, the Q1 FY27 earnings release and published news coverage. Where data was unavailable it is marked N/A rather than estimated. This report is an analytical opinion prepared for informational purposes and does not constitute investment advice, a recommendation to transact, or a personalised solicitation. The author is not a registered investment adviser. Equity investments carry risk of capital loss. Readers should conduct their own due diligence and consult a SEBI-registered adviser before acting.